



PAPER – 1: FINANCIAL REPORTING

Part I-Amendments applicable from May, 2026 examination

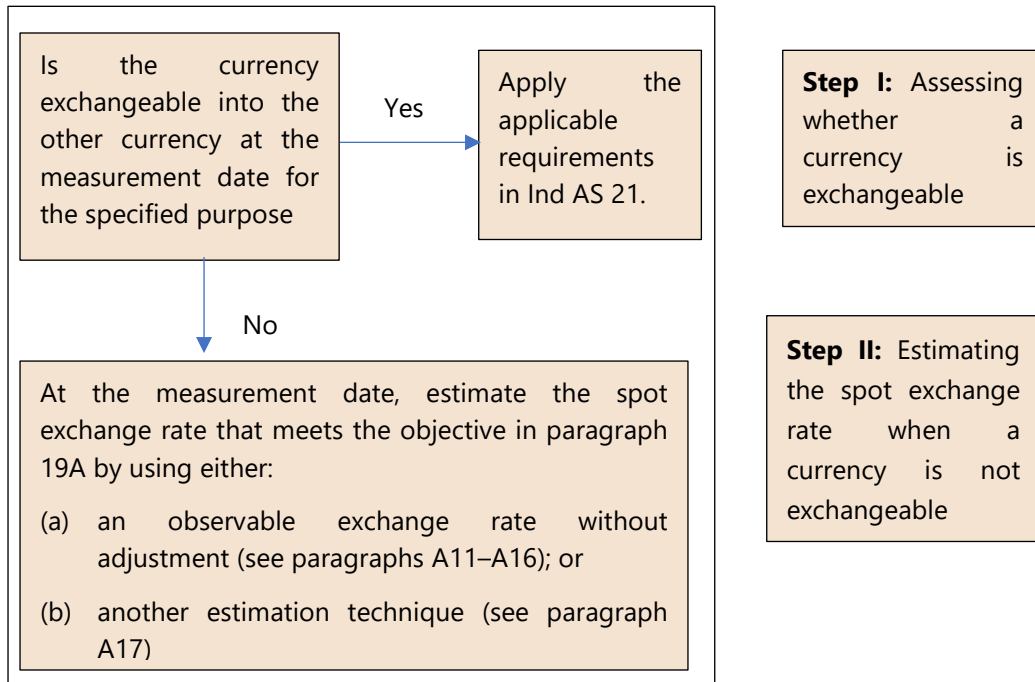
In the year 2025, MCA has issued amendments viz two notifications at two different dates to amend the Companies (Indian Accounting Standards) Rules, 2015. The first amendment of the year was vide notification G.S.R. 291(E) dated 7th May, 2025 and the second amendment of the year was vide notification G.S.R. 549(E) dated 13th August, 2025. These amendments are generally brought by MCA to keep uniformity between Ind AS and IFRS.

1. Amendment in Ind AS notification G.S.R. 291(E) dated 7th May, 2025

The Ministry of Corporate Affairs (MCA) issued the Companies (Indian Accounting Standards) Amendment Rules, 2025 on May 7, 2025, primarily amending Ind AS 21 regarding a "lack of exchangeability" for foreign currencies, effective for annual periods starting on or after April 1, 2025. These amendments align Ind AS 21 with IAS 21, guiding how to determine the spot rate when a currency cannot be exchanged into

Under Ind AS 21, The Effects of Changes in Foreign Exchange Rates, a company on initial recognition, uses a spot exchange rate when translating a foreign currency transaction at the date of the transaction. Additionally, Ind AS 21 requires the use of a spot exchange rate when an entity reports foreign operation's results and financial position in its financial statements. A spot exchange rate is the exchange rate for immediate delivery.

However, in rare circumstances, it is possible that one currency cannot be exchanged into another. This lack of exchangeability can have a significant accounting impact over affected companies.



In this regard, the Ministry of Corporate Affairs (MCA) notified the Companies (Indian Accounting Standards) Amendment Rules, 2025, on May 7, 2025, amending Ind AS 21, The Effects of Changes in Foreign Exchange Rates. Effective for annual periods beginning on or after April 1, 2025, the amendments address the lack of exchangeability between two currencies by explaining

- when a currency is exchangeable,
- providing guidance on estimating spot rates, and
- enhancing disclosure requirements.

Key highlights of the Amendment in Ind AS 21

- ❖ **Definition of Exchangeability:** A currency is exchangeable into another when an entity can *obtain the other currency within a time frame allowing for normal administrative delay*, through a mechanism that *creates enforceable rights*.

- ❖ **Estimate Spot Rate:** If exchangeability is lacking, the entity must estimate the spot rate to translate transactions, ensuring it reflects an orderly transaction.
- ❖ **Two-Step Approach**

Two-step approach:

The following diagram is to help entities assess whether a currency is exchangeable and estimate the spot exchange rate when a currency is not exchangeable.

Step I: Assessing whether a currency is exchangeable

An entity might determine that currency PC is not exchangeable into currency LC, even though currency LC is exchangeable into currency PC.

Following key factors are required to be considered when determining that a currency is exchangeable:

1. **Time frame:** An exchange transaction might not always complete instantaneously because of legal or regulatory requirements, or for practical reasons such as public holidays. A normal administrative delay in obtaining the other currency does not preclude a currency from being exchangeable into that other currency. What constitutes a normal administrative delay depends on facts and circumstances.
2. **Ability to obtain the other currency:** In assessing whether a currency is exchangeable into another currency, an entity shall consider its ability to obtain the other currency, rather than its intention or decision to do so. A currency is exchangeable into another currency if an entity is able to obtain the other currency either directly or indirectly, even if it intends or decides not to do so. For example, regardless of whether the entity intends or decides to obtain PC, currency LC is exchangeable into currency PC if an entity is able to either exchange LC for PC, or exchange LC for another currency (FC) and then exchange FC for PC.
3. **Markets or exchange mechanisms:** In assessing whether a currency is exchangeable into another currency, an entity shall consider only markets or exchange mechanisms in which a transaction to exchange the

currency for the other currency would create enforceable rights and obligations. It depends on facts and circumstances.

4. **Purpose of obtaining the other currency:** Different exchange rates might be available for different uses of a currency. This could affect an entity's ability to obtain those currencies and thus, lead to lack of exchangeability. Hence, it would be important for an entity to consider the purpose for which it obtains the other currency.
5. **Ability to obtain only limited amounts of the other currency:** A currency is not exchangeable into another currency if an entity is able to obtain no more than an insignificant amount of the other currency. An entity shall assess the significance of the amount of the other currency it is able to obtain for a specified purpose by comparing that amount with the total amount of the other currency required for that purpose.

For example, an entity with a functional currency of LC has liabilities denominated in currency FC. The entity assesses whether the total amount of FC it can obtain for the purpose of settling those liabilities is no more than an insignificant amount compared with the aggregated amount (the sum) of its liability balances denominated in FC.

Where a currency is exchangeable into another currency, then the existing principles of Ind AS 21 would be applied for translation of the foreign currency transaction. But, where a currency is not exchangeable, an entity has to apply Step II.

Step II: Estimating the spot exchange rate when a currency is not exchangeable

When a currency is not exchangeable, a company needs to estimate a spot rate. A company's objective when estimating a spot rate is only that it reflects the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions.

To estimate a spot rate, a company should consider using:

1. An observable exchange rate without adjustment

A company can use an observable rate if that rate satisfies the estimation objective – i.e. the rate reflects the price at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions.

To assess whether the exchange rates reflect the prevailing economic conditions, following needs to be considered:

- ❖ Whether several observable exchange rates exist
- ❖ The purpose for which the currency is exchangeable
- ❖ The nature of the exchange rate; and
- ❖ The frequency with which exchange rates are updated

Examples of an observable exchange rate include:

- ❖ A spot exchange rate for a purpose other than that for which the company is assessing exchangeability.
- ❖ The first exchange rate at which a company is able to obtain the other currency for its specified purpose after exchangeability is restored. If a company opts to use this rate as an observable rate, then it would also need to consider
 - the time between the measurement date and the date at which exchangeability is restored,
 - inflation rates.

2. Using another estimation technique

When estimating a spot rate, the other alternative is that a company may use any observable exchange rate and adjust it as necessary. This includes using rates from exchange transactions in markets or exchange mechanisms that do not create enforceable rights and obligations- and adjust that rate, as necessary, to meet the estimation objective.

Disclosure when a currency is not exchangeable

An entity shall disclose:

- (a) the currency and a description of the restrictions that result in that currency not being exchangeable into the other currency;
- (b) a description of affected transactions;
- (c) the carrying amount of affected assets and liabilities;
- (d) the spot exchange rates used and whether those rates are:
 - i. observable exchange rates without adjustment (see paragraphs A12–A16); or
 - ii. spot exchange rates estimated using another estimation technique (see paragraph A17);
- (e) a description of any estimation technique the entity has used, and qualitative and quantitative information about the inputs and assumptions used in that estimation technique; and
- (f) qualitative information about each type of risk to which the entity is exposed because the currency is not exchangeable into the other currency, and the nature and carrying amount of assets and liabilities exposed to each type of risk.

When a foreign operation's functional currency is not exchangeable into the presentation currency or, if applicable, the presentation currency is not exchangeable into a foreign operation's functional currency, an entity shall also disclose:

- (a) the name of the foreign operation; whether the foreign operation is a subsidiary, joint operation, joint venture, associate or branch; and its principal place of business;
- (b) summarised financial information about the foreign operation; and
- (c) the nature and terms of any contractual arrangements that could require the entity to provide financial support to the foreign operation, including events or circumstances that could expose the entity to a loss.

Transition

In applying *Lack of Exchangeability*, the companies are not required to restate comparative information; instead, they adjust opening balance of retained earnings or cumulative amount of translation differences-accumulated in a separate component of equity.

2. Amendment in Ind AS notification G.S.R. 549(E) dated 13th August, 2025

The amendments notified in the Companies (Indian Accounting Standards) Second Amendment Rules, 2025 relate to:

- A. Classification of liabilities as current or non-current and non-current liabilities with covenants (Ind AS 1, *Presentation of Financial Statements*)
- B. Disclosure of supplier finance arrangements (Ind AS 7, *Statement of Cash Flows* and Ind AS 107 *Financial Instruments: Disclosures*)
- C. Pillar Two Model Rules (Ind AS 12, *Income Taxes*).

A. AMENDMENT IN IND AS 1 'PRESENTATION OF FINANCIAL STATEMENTS'**Current – non-current classification of liabilities**

In Ind AS 1, certain paragraphs have been inserted for the classification of certain liabilities as current or non-current. Further, companies may require making new disclosures for liabilities subject to covenants.

Right to defer settlement must exist at reporting date and have substance

Prior to the notification in Ind AS 1, companies classify a liability as current when they do not have an unconditional right to defer settlement for at least 12 months after the reporting date. The amendment has removed the requirement for a right to be **unconditional** and instead now requires that a right to defer settlement must exist at the reporting date and have substance.

Liabilities with covenants – clarification on classification criteria and introduction of new disclosures

A company will classify a liability as non-current if it has a right to defer settlement for at least 12 months after the reporting date. This right may be subject to a company complying with covenants specified in a loan arrangement.

Only covenants with which a company must comply **on or before** the reporting date affect the classification of a liability as current or non-current.

Covenants with which the company must comply after the reporting date (i.e. future covenants) do not affect a liability's classification at that date. However, when non-current liabilities are subject to future covenants, **companies will now need to disclose information** to help users understand the risk that those liabilities could become repayable within 12 months after the reporting date.

Breach of covenant (effective for accounting periods beginning on or after 1 April 2025)

Ind AS 1 continues to carry the existing carve-outs from IAS 1 regarding the classification of liabilities when there is a breach of a material covenant that transforms the liability from non-current to current.

Where there is a breach of a material covenant of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand on the reporting date, the entity would not classify the liability as current, if the lender, after the reporting period and before the approval of the financial statements for issue, agreed not to demand payment as a consequence of the breach. However, in such circumstances, **the entity shall disclose information as per Ind AS 107 for each breach.**

Breach of covenant (effective for accounting periods beginning on or after 1 April 2026)

For accounting periods beginning on or after 1 April 2026, the carve-out has been removed and hence when an entity breaches any covenant of a long-term loan arrangement on or before the end of the reporting period with the

effect that the liability becomes payable on demand, it classifies the liability as current, even if the lender agreed, after the reporting period and before the approval of the financial statements for issue, not to demand payment as a consequence of the breach. An entity classifies the liability as current because, at the end of the reporting period, it does not have the right to defer its settlement for at least 12 months after that date.

However, an entity classifies the liability as non-current if the lender agreed by the end of the reporting period to provide a period of grace ending at least 12 months after the reporting period, within which the entity can rectify the breach and during which the lender cannot demand immediate repayment.

If the following events occur between the end of the reporting period and the date the financial statements are approved for issue, those events are disclosed as non-adjusting events in accordance with Ind AS 10, *Events after the Reporting Period*:

- (a) refinancing on a long-term basis of a liability classified as current;
- (b) rectification of a breach of a long-term loan arrangement classified as current;
- (c) the granting by the lender of a period of grace to rectify a breach of a long-term loan arrangement classified as current; and
- (d) settlement of a liability classified as non-current.

Convertible debt may become current

Clarification on how a company classifies a liability that can be settled in its own shares – e.g. convertible debt.

When a liability includes a counterparty conversion option that involves a transfer of the company's own equity instruments, the conversion option is recognised as either equity or a liability separately from the host liability under Ind AS 32 Financial Instruments: Presentation. *The amendments states that when a company classifies the host liability as current or non-current, it can ignore only those conversion options that are recognised as equity.*

New disclosure requirements

As per the amendment in Ind AS 1, companies are now required to disclose information related to non-current liabilities from loan arrangements that are subject to future covenants in the notes to the financial statements. This disclosure aims to inform users about the potential risk that such liabilities may become repayable within 12 months following the reporting date.

The following new disclosures about covenants are required:

- Information about the covenants – e.g. nature of the covenants and when the company is required to comply with them and the carrying amount of related liabilities.
- Facts and circumstances, if any, that indicate the company may have difficulty complying with the covenants within the next 12 months of the reporting date – e.g. actions taken by the company during or after the reporting period to avoid or mitigate a potential breach, or the fact that the covenants would have been breached if assessed for compliance based on the company's circumstances at the reporting date (i.e. based on a hypothetical test at the reporting date).

Effective date –retrospectively application

Amendments in Ind AS 1 apply retrospectively for annual reporting periods beginning on or after 1 April 2025.

The amendment relating to breach of covenants on or before the reporting period that are aligned to IAS 1 are applicable for annual reporting periods beginning on or after 1 April 2026, retrospectively in accordance with Ind AS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*.

B. AMENDMENT IN IND AS 7 'STATEMENT OF CASH FLOWS'**Supplier Finance Arrangements**

Supplier finance arrangements are characterised by one or more finance providers offering to pay amounts an entity owes its suppliers and the entity agreeing to pay according to the terms and conditions of the arrangements at the same date as, or a date later than, suppliers are paid. These arrangements provide the entity with extended payment terms, or the

entity's suppliers with early payment terms, compared to the related invoice payment due date. Supplier finance arrangements are often referred to as supply chain finance, payables finance or reverse factoring arrangements.

Arrangements that are solely credit enhancements for the entity (for example, financial guarantees including letters of credit used as guarantees) or instruments used by the entity to settle directly with a supplier the amounts owed (for example, credit cards) are not supplier finance arrangements.

An entity shall disclose in aggregate following information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows and on the entity's exposure to liquidity risk.

- (a) the terms and conditions of the arrangements (for example, extended payment terms and security or guarantees provided). However, an entity shall disclose separately the terms and conditions of arrangements that have dissimilar terms and conditions.
- (b) as at the beginning and end of the reporting period:
 - (i) the carrying amounts, and associated line items presented in the entity's balance sheet, of the financial liabilities that are part of a supplier finance arrangement.
 - (ii) the carrying amounts, and associated line items, of the financial liabilities disclosed under (i) for which suppliers have already received payment from the finance providers.
 - (iii) the range of payment due dates for both the financial liabilities disclosed under (i) and comparable trade payables that are not part of a supplier finance arrangement. Comparable trade payables are, for example, trade payables of the entity within the same line of business or jurisdiction as the financial liabilities disclosed under (i). If ranges of payment due dates are wide, an entity shall disclose explanatory information about those ranges or disclose additional ranges (for example, stratified ranges).
- (c) the type and effect of non-cash changes in the carrying amounts of the financial liabilities disclosed under (b)(i). Examples of non-cash

changes include the effect of business combinations, exchange differences or other transactions that do not require the use of cash or cash equivalents.

Transition- Effective date

An entity shall apply the supplier finance arrangements for the annual reporting periods beginning on or after 1 April 2025.

In applying supplier finance arrangements, an entity is **not** required to disclose:

- (a) Comparative information for any reporting periods presented before the beginning of the annual reporting period in which the entity first applies these amendments;
- (b) The following information as at the beginning of the annual reporting period in which the entity first applies those amendments
 - ❖ the carrying amounts and associated line items presented in the balance sheet at the beginning and end of the reporting period for both the financial liabilities that are part of supplier finance arrangements in total and those for which the supplier has already been paid.
 - ❖ the range of payment due dates for the financial liabilities that are part of supplier finance arrangements and comparable trade payables (e.g. trade payables within the same jurisdiction or business) that are not part of such arrangements as at the beginning of the annual reporting period in which the entity first applies these amendments.
- (c) The information regarding supplier finance arrangements for any interim period presented within the annual reporting period in which the entity first applies these amendments.

C. AMENDMENT IN IND AS 12 'INCOME TAXES'**Pillar Two Legislation and Pillar Two Income Taxes**

Pillar Two legislation includes Pillar Two Model Rules as per Organisation for Economic Co-operation and Development (OECD) including tax law that

implements qualified domestic minimum top-up taxes described in those rules.

As an exception to the requirements in this Standard, an entity shall neither recognise nor disclose information about deferred tax assets and liabilities related to Pillar Two income taxes.

The amendments to Ind AS 12 states that

- ❖ An entity shall disclose that it has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.
- ❖ An entity shall disclose separately its current tax expense (income) related to Pillar Two income taxes.
- ❖ In periods in which Pillar Two legislation is enacted or substantively enacted but not yet in effect, an entity shall disclose known or reasonably estimable information that helps users of financial statements understand the entity's exposure to Pillar Two income taxes arising from that legislation.
- ❖ To meet the above disclosure, an entity shall disclose qualitative and quantitative information about its exposure to Pillar Two income taxes at the end of the reporting period.

This information does not have to reflect all the specific requirements of the Pillar Two legislation and can be provided in the form of an indicative range. To the extent information is not known or reasonably estimable, an entity shall instead disclose a statement to that effect and disclose information about the entity's progress in assessing its exposure.

Part II-Questions and Answers



QUESTIONS

Case Scenario

An entity enters into a contract with a customer A to sell groceries at its market price INR 200, and the arrangement includes a 40% discount voucher on future purchases.

Simultaneous seasonal promotion gives all customers a 10% discount, therefore, customer A receives an incremental discount of 30% (40% discount in the contract less the 10% discount available to all customers).

Entity determines there is an 80% likelihood of redemption and estimates that customers will purchase (on average) INR 50 of additional groceries.

Based on the facts given above, choose the most appropriate answer to Questions 1 to 5 below as per the relevant Ind AS.

1. What is the standalone selling price of the voucher?
 - (a) ₹ 50
 - (b) ₹ 200
 - (c) ₹ 12
 - (d) ₹ 11.32
2. How much revenue will be recognised in the current year for sale of groceries?
 - (a) ₹ 188.68
 - (b) ₹ 200
 - (c) ₹ 212
 - (d) Nil

3. At what value the liability or deferred revenue be recognised on initial sale of groceries?
- (a) ₹ 50
 - (b) ₹ 200
 - (c) ₹ 12
 - (d) ₹ 11.32
4. When will the liability or deferred revenue recognised at the time of initial sale be recognised as revenue?
- (a) The said liability will never be recognised as revenue
 - (b) The said liability will be subsequently credited to revenue only when the customer purchases in future using the discount coupon or when the coupon expires.
 - (c) The said liability will be subsequently credited to revenue when customer purchases in future even though he does not uses the discount coupon.
 - (d) The liability will be recognized as revenue in the next year, even though the coupon has neither expired nor been used by the customer.
5. What would be the nature of the said liability and under which standard?
- (a) Financial liability under Ind AS 109
 - (b) Contingent liability under Ind AS 37
 - (c) Contract Liability under Ind AS 115
 - (d) Lease liability under Ind AS 116

Ind AS 110: Consolidated Financial Statements

6. Following is the Balance Sheets of M Ltd. and N Ltd. of two different dates:

	M Ltd. (As on 31.3.20X2) ₹	N Ltd. (As on 31.12.20X1) ₹
ASSETS		
Non-current Assets		
Property, Plant and Equipment	6,50,000	4,05,000
Financial Assets		
Investments:		
40,000 shares in N Ltd.	8,00,000	—
1,000 Debentures in N Ltd.	1,50,000	—
Current assets:		
Inventory	2,00,000	3,50,000
Financial Assets		
Trade Receivables	1,50,000	2,65,000
Cash and cash equivalents	<u>80,000</u>	<u>1,05,000</u>
Total	<u>20,30,000</u>	<u>11,25,000</u>
EQUITY AND LIABILITIES		
Equity Shares of ₹ 10 each	10,00,000	5,00,000
Retained Earnings	4,50,000	2,05,000
Non-current Liabilities		
Financial Liabilities		
13% Debentures (₹ 100 each)	—	3,00,000

Current liabilities		
Financial Liabilities		
Trade Payables	3,80,000	80,000
Other liabilities	<u>2,00,000</u>	<u>40,000</u>
Total	<u>20,30,000</u>	<u>11,25,000</u>

On 5th January 20X2, certain inventory of N Ltd. costing ₹ 20,000 were completely destroyed by fire. The insurance company paid 75% of the claim. On 20th January 20X2, M Ltd. sold goods to N Ltd. costing ₹ 1,50,000 at an invoice price of cost plus 20%. 50% of those goods were resold by N Ltd. to M Ltd. within 31st March 20X2 (these were then sold by M Ltd. to a third party before 31st March, 20X2). As on 31st March, 20X2, N Ltd. owes ₹ 60,000 to M Ltd. in respect of those goods. Pre-acquisition profits of N Ltd. on the date of acquisition was ₹ 75,000.

NCI is measured as per fair value method on the date of acquisition. Fair value of the share of N Ltd. as on the date of acquisition is ₹ 18 per share.

Prepare Consolidated Balance Sheet as on 31st March, 20X2 after making necessary adjustments in the Balance sheet of N Ltd. Ignore Notes to Accounts

Ind AS 1 : Presentation of Financial Statements

7. Find out total comprehensive income for 20X1-20X2 of V Ltd. from the following information:

Profit from normal operations	₹ 50,00,000
Remeasurement gains from defined benefit plans	₹ 5,00,000
Gain on translation of foreign operations	₹ 10,00,000
Revaluation gains on property, plant and equipment	₹ 3,50,000
Fair value changes on financial assets	₹ 4,50,000

Ind AS 12: Income Taxes

8. X Ltd. has 2 wholly owned subsidiaries A Ltd. and B Ltd. The company had acquired 100% equity of these companies as at 1st April, 20X1. The investment was made as under:

Company	Invested on April 1, 20X1 ₹	Profit (loss) for the FY 20X1- 20X2 ₹	Profit (loss) for the FY 20X2- 20X3 ₹	Profit (loss) for the FY 20X3- 20X4 ₹
A Ltd.	5,00,000	(50,000)	(60,000)	(70,000)
B Ltd.	5,00,000	50,000	60,000	70,000

As at 31st March, 20X4 in the standalone financial statements of X Ltd., the future projections of company A Ltd. being negative, the entire investment was impaired by ₹ 5,00,000. The same was disallowed under income-tax laws of X Ltd.'s jurisdiction. Further, in the consolidated financial statements of X Ltd., the net assets in relation to A Ltd. was also fully impaired.

As at 31st March, 20X4, B Ltd. has excess earnings available which would be transferred to the holding company in future but it cannot be repatriated in a tax free manner.

Required

On the preparation of the consolidated financial statements of X Ltd.-

- Would a deferred tax liability be recorded for the difference in the carrying value and tax books value of A Ltd. in the consolidated financial statement (CFS) of X Ltd.? Assume no indexation benefit is available on investment in A Ltd.
- Would a deferred tax liability be recorded for the difference in the carrying value and tax books value of B Ltd. in the CFS of X Ltd.? Assume no indexation benefit is available on investment in B Ltd.

Ind AS 23: Borrowing Costs

9. S Ltd. financed the construction of a qualifying asset with an inter-company loan taken from its parent company P Ltd. with an interest rate of 7% p.a. P Ltd. in-turn has obtained the said loan from a Bank at the same rate of interest of 7% p.a. for the specific purpose of providing it to S Ltd.

State how the same will be treated in the separate financial statements of S Ltd. and P Ltd. and consolidated financial statements of P Ltd. as per Ind AS 23?

Ind AS 38: Intangible Assets

10. A Ltd. has incurred ₹ 1,00,000 of research expenditure on a project to develop a new type of fuel and has expensed these costs. B Ltd. purchases the research project, including certain patents that have been registered by A Ltd., for ₹ 1,50,000 and recognises an intangible asset.

Subsequently, B Ltd. incurs ₹ 2,00,000 of expenditure on completing the research phase and decides to develop the product commercially. It incurs a further ₹ 3,00,000 of costs in bringing the product to a stage where the conditions for recognising development costs as an internally generated intangible asset are met. Further costs of ₹ 1 million are incurred in bringing the product into a condition where it is ready for use in the manner that management intends. Marketing costs and initial losses of ₹ 2,00,000 are incurred before the product reaches widespread distribution.

Required

What costs can B Ltd. capitalise?

Ind AS 109: Financial Instruments

11. On 1st April 2XX0, Zx Co originates a 10-year 6% ₹ 1,00,000 loan. The loan carries an annual interest rate of 6% payable at the end of each year and the loan is repayable at par at the end of year 10. Zx charges ₹ 3,000 non-refundable loan origination fee to the borrower and it also incurs ₹ 5,000 in direct loan origination costs. The contract specifies

that the borrower has an option to pre-pay the instrument and that no penalty will be charged for pre-payment. The contract meets the SPPI criteria. At inception, Zx expects the borrower not to pre-pay.

The effective interest rate is approximately 5.7317%.

What is the carrying amount on initial recognition and what impact does the pre-payment feature have on the amortised cost calculations?

Ind AS 115: Revenue From Contracts with Customers

12. X Ltd. agrees to produce 2,000 customized engines for use by Customer A in its products. X Ltd. concludes that the engines will transfer to Customer A over time because:

- they have no alternative use to X Ltd.; and
- Customer A is contractually obligated to pay X Ltd. for any finished or in-process engines, including a reasonable margin, if Customer A terminates the contract even when no fault of X Ltd.

X Ltd. already has the process in place to produce the engines and is given the design by Customer A, such that X Ltd. does not expect to incur any significant learning curve or design and development costs. X Ltd. uses a method of measuring progress toward complete satisfaction of its manufacturing contracts that takes into account work in progress and finished goods controlled by Customer A.

Require:

- (i) State whether the 2000 engines are distinct in nature or not.
- (ii) State whether 2000 engines is a single performance obligation or each engine is a separate performance obligation.

Ind AS 20: Accounting for Government Grants and Disclosure of Government Assistance

13. A Ltd. has acquired equipment for ₹ 100 lakhs. The estimated useful life of the equipment is 10 years. Residual value at the end of useful life is Nil. Depreciation is recognised on a straight-line basis.

To encourage the acquisition of the assets, the Government will give a grant to A Ltd. towards the purchase of the equipment as follow:

- o If specified employment targets are achieved by the end of the 3rd year, A Ltd. will receive a grant of ₹ 10 lakhs.
- o In all other cases, A Ltd. will receive a grant of ₹ 5 lakhs.

On the date of acquisition as well as at the end of year 1, A Ltd. expects to receive a grant of ₹ 10 lakhs.

At the beginning of year 2, A Ltd. has revised the assessment in light of development and now expects that it will only receive a grant of ₹ 5 lakhs.

There were no errors in the estimation of grants in the prior period.

A Ltd. has assessed and concluded that the grant is in nature of grants related to assets.

A Ltd. presents government grants related to assets in the balance sheet by deducting the grant in calculating the carrying amount of the asset.

Required

How is the change in the amount of grant-related assets is accounted for in the books of A Ltd.?

Ind AS 116: Leases

14. Lessee enters into an agreement with Lessor for a period of five years to lease a floor of a building. Lessee is required to make a fixed annual lease payment of ₹ 4,20,000 (i.e., total payment of ₹ 21,00,000 over the five-year term). As per the terms of the contract, the ₹ 4,20,000 annual payment comprises:

	₹
Building rent	2,40,000
Common area maintenance services	84,000
Property taxes (pro-rata)	60,000
Building insurance (pro-rata)	36,000

From Lessee's perspective, the estimated standalone price of the building rent is ₹ 2,64,000 and the estimated standalone price of the common area maintenance service is ₹ 96,000. Lessee has not elected

to apply the practical expedient in paragraph 15 of Ind AS 116 of not to separate non-lease component(s) from lease component(s). Hence, it has to separate non-lease components from lease components.

Required

How are the above payments allocated and accounted for by Lessee?

Ind AS 7: Statement of Cash Flows

15. An entity invests in a 10-year bond with a face value of ₹ 6,00,000 by paying ₹ 2,31,500. The effective rate of interest is 10%. An entity recognises proportionate interest income in its statement of profit and loss over the period of bond.

How the interest income will be treated in the statement of cash flows during the period of bond?

How the maturity proceeds of ₹ 6,00,000 will be treated in the statement of cash flows?

Note: The entity is not in the business of dealing in securities.

Ind AS 37: Provisions, Contingent Liabilities and Contingent Assets

16. (i) An entity has a contract to purchase one million units of gas at 23 paise per unit, giving a contract price of ₹ 2,30,000. The current market price for a similar contract is 16 paise per unit, giving a price of ₹ 1,60,000. The gas will be used to generate electricity, which will be sold at a profit.

State whether the contract is onerous.

- (ii) An entity has a contract to purchase one million units of gas at 23 paise per unit, giving a contract price of ₹ 2,30,000. The current market price for a similar contract is 16 paise per unit, giving a price of ₹ 1,60,000. The gas will be used to generate electricity. However, the electricity is sold at a loss, and the entity makes an overall operating loss. All of the gas purchased by the entity is used to generate electricity using dedicated assets. The electricity is sold to a wide range of customers.

State whether the contract is onerous.

- (iii) An entity has a contract to purchase one million units of gas at 23 paise per unit, giving a contract price of ₹ 2,30,000. The current market price for a similar contract is 16 paise per unit, giving a price of ₹ 1,60,000. The gas will be used to generate electricity. However, the entity sells the gas under contract, which it no longer needs, to a third party for 18 paise per unit (5 paise below cost). The entity determines that it would have to pay ₹ 55,000 to exit the purchase contract.

State whether the contract is onerous. If the contract is onerous then also state the amount of provision to be made on account of the onerous contract.

- (iv) In the year ended 31st March 20X1, an entity has a contract with a third party supplier. The entity wishes to terminate this contract in 20X1-20X2, even though it will still have two years to run, because it can enter into a cheaper contract with a new supplier. It will incur a charge for terminating the contract.

Does the entity have to provide in 20X0-20X1 for the contract that it will be exiting in 20X1-20X2?